# STATEMENT OF ADVICE

## Financial Planning Strategy

***Prepared for:***

Malcolm and Marie Agius

Of

102/681 Inkerman Road
CAULFIELD NORTH VIC 3161

***Prepared on:***

**12th February 2021**

***By your Adviser:***


***Andrew Lord*** *B Bus (Acc), Dip FS (Fin Plan)*

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**What this document is about**

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

**What to do after reading this Statement of Advice**

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

12/02/2021

Malcolm and Marie Agius
102/681 Inkerman Road
**Caulfield North VIC 3161**

Dear Malcolm and Marie,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

**Andrew Lord**
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

# Table of Contents

## Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

***Timeframe for our advice***

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

***Check for accuracy***

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

***Limitations of our advice***

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

## Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

***Product selection***

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

# Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

## The Scope of Our Advice

In this statement of advice, the main focus is on:

- Property / Debt Structure
- Superannuation structure
- Superannuation contribution strategies
- Personal Insurances

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

## Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

## Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

## The Planning Process

Malcolm and Marie, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

## Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

## Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Assess your borrowing capacity for your new property purchase and associated loan repayments.
- Assess the feasibility of retaining your existing property as an investment and the associated tax and cash flow implications.
- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Consider appropriate superannuation contribution strategies.
- Review your personal insurance program.

# Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

## Personal Details

| | | |
|---|---|---|
| Title | Mr | Mrs |
| First Name | Malcolm | Marie |
| Surname | Agius | Agius |
| Gender | M | F |
| Date of Birth | 18/04/1978 | 3/05/1971 |
| Age Last Birthday | 42 | 39 |
| Marital Status | Married | Married |

## Employment Details

| | | |
|---|---|---|
| Employment Status | Full Time | Part Time |
| Occupation | Financial Controller | Senior Banking Analyst |
| Employer | AVA Group Limited | NAB |

## Estate Planning

| | Malcolm | Marie |
|---|---|---|
| Do you have a Current Will? | Yes | Yes |
| Do you have Current Powers of Attorney? | Yes | Yes |
| Do you have a Testamentary Trust? | Yes | Yes |

## Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

**ASSETS**

| Lifestyle Assets | Value |
|---|---|
| Caulfield North residential property | $650,000 |
| Motor Vehicles | $10,000 |
| **Total Lifestyle Assets** | **$660,000** |

| Investment Assets | Value |
|---|---|
| Cash at Bank (Australia) | $400,000 |
| Cash at Bank (Europe) | $50,000 |
| Shares | $3,800 |
| **Total Investment Assets** | **$453,800** |

| Superannuation Assets | |
|---|---|
| **Malcolm** | |
| Host Plus | $82,400 |
| **Marie** | |
| Host Plus | $36,600 |
| **Total Superannuation Assets** | **$119,000** |

| | |
|---|---|
| **Total ASSETS** | **$1,232,800** |

**LIABILITIES**

| | |
|---|---|
| Residential mortgage | $359,800 |
| **Total Liabilities** | **$359,800** |

| | |
|---|---|
| **NET WORTH** | **$873,000** |

**Notes:** As the above information has been used in preparing our recommendations please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

## Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that you both have **Balanced to Growth** investor risk profiles in regard to investments inside and outside superannuation.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A **Growth** investor will typically diversify their investment in the following manner:

| | |
|---|---|
| Australian Shares | 43% |
| International Shares | 25% |
| Fixed Interest | 13% |
| Property | 17% |
| Cash | 2% |

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth-oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5-year horizon while their portfolio builds a growing income stream and capital growth.

A **Balanced** investor will typically diversify their investment in the following manner:

| | |
|---|---|
| Australian Shares | 34% |
| International Shares | 20% |
| Fixed Interest | 26% |
| Property | 14% |
| Cash | 6% |

Taking the above into consideration, a **Balanced to Growth** investor will typically diversify their investment in the following manner:

| | |
|---|---|
| Australian Shares | 38% |
| International Shares | 22% |
| Fixed Interest | 20% |
| Property | 15% |
| Cash | 5% |

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

## Strategy Recommendation

### Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

**Income Earned in your personal name**

***Tax rates 2020-21***

| *Taxable income* | *Tax on this income* |
|---|---|
| $1 – $18,200 | Nil |
| $18,201 – $45,000 | 19c for each $1 over $18,200 |
| $45,001 – $120,000 | $5,092 plus 32.5c for each $1 over $45,000 |
| $120,001 – $180,000 | $29,467 plus 37c for each $1 over $120,000 |
| $180,001 and over | $51,667 plus 45c for each $1 over $180,000 |

* The above rates **do not** include the Medicare levy of 2.0%.

**Income Earned in the superannuation environment**

Superannuation in ‘accumulation’ phase - Tax rate = 15%

Superannuation in ‘pre-retirement pension’ phase - Tax rate = 15%

Superannuation in ‘allocated pension’ phase - Tax rate = 0%

## Tax on superannuation earnings, contributions and income streams

| | Non-superannuation | Super accumulation and pre-retirement pension phase | Super allocated pension phase |
|---|---|---|---|
| | | | After age 60 |
| **Salary/pension income** | Marginal tax rate **(max 45% + medicare)** | n/a | **Tax free** |
| **Super contributions (SGC, salary sacrifice)** | n/a | **15%** | n/a |
| **Investment income** | Marginal tax rate **(max 45% + medicare)** | Maximum 15% | **Tax free*** |
| **Capital gains** | **Marginal tax rate** (50% discount if held for more than 12 months) | **10%** (15% if asset held less than 12 months) | **Tax free*** |

## Superannuation Contribution Limits

### Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

| Date | Limit (per annum) | | | | |
|---|---|---|---|---|---|
| | To Age 49 | Age 50-59 | Age 60-65 | Age 65-74* | Age75 and over |
| From 1 July 2012 | $25,000 | **$25,000** | **$25,000** | **$25,000** | SGC only |
| From 1 July 2013 | $25,000 | **$25,000** | **$35,000** | **$35,000** | SGC only |
| From 1 July 2014 | $30,000 | **$35,000** | **$35,000** | **$35,000** | SGC only |
| From 1 July 2017 | $25,000 | **$25,000** | **$25,000** | **$25,000** | SGC only |

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

### Table 2 - Non-concessional contribution limits

| Date | Limit on after-tax contributions | Eligibility Requirements | | |
|---|---|---|---|---|
| | | Under age 65 | Age 65 to 74 | Age 75 and over |
| From 1 July 2007 | $150,000 p.a. | May bring forward two years of contributions to make a $450,000 contribution in one financial year | Must be employed | Cannot contribute |
| From 1 July 2014 | $180,000 p.a. | May bring forward two years of contributions to make a $540,000 contribution in one financial year | Must be employed | Cannot contribute |
| From 1 July 2017 | $100,000 p.a. | May bring forward two years of contributions to make a $300,000 contribution in one financial year | Must be employed | Cannot contribute |

## Borrowing Capacity

- You would like to purchase a larger residential property and you feel you would need to spend $1.2m to $1.5m in the Caulfield area.
- We have conducted a 'servicing capacity' exercise to determine that you have the ability to borrow up to $1,500,000 to assist with any future property purchase.

## Property Planning

You intend on purchasing a larger property to live in and anticipate you may need to spend up to $1.5m. Furthermore, you may look to hold onto your existing property as an investment property.

We have therefore outlined 2 possible scenarios for you moving forward, detailing the potential financial costs to assist you in your decision making:

- Scenario 1 – Keep existing property as an investment property and purchase a new residential property for up to $1.45m
- Scenario 2 – Sell existing property and purchase a new residential property for $1.5m

**Scenario 1:**

- Keep your existing property as investment property after purchasing your new home for up to $1,450,000**.**
- Utilise your cash reserves of $400,000 to assist with the purchase of the new residential property.
- Overall debt structure will be as follows:

| | Residential property debt | Investment property debt |
|---|---|---|
| Purchase price | $1,450,000 | |
| Stamp duty | $79,750 | |
| TOTAL OUTLAY | $1,529,750 | |
| Less cash contribution | ($400,000) | |
| Loan required | **$1,129,750** | |
| Existing loan | | **$359,800** |
| Type of debt | **Non-deductible** | **Deductible** |
| **TOTAL DEBT** | **$1,489,550** | |

- Under this scenario, the approximate loan repayments would be as follows:

OPTION (A)

- Total debt structured with Principal & Interest repayments over a 30-year term at an interest rate of 2.5% p.a.
  - **Repayments of $5,886 PER MONTH**

OPTION (B)

- Residential property debt is structured with Principal & Interest repayments over a 30-year term at an interest rate of 2.5% p.a.
  - **Repayments of $4,464 PER MONTH**
- Investment property debt is structured with Interest Only repayments at an interest rate of 3.2% p.a.
  - **Repayments of $959 PER MONTH**
  - **Total repayments of $5,423 PER MONTH**

**Scenario 2:**

- Sell your existing property (assumed sale price of $650,000) and purchase your new home for up to $1,500,000.
- Cash reserves and equity from sale proceeds used to assist with the purchase of the new residential property.
- Overall debt structure will be as follows:

| | Residential property debt |
|---|---|
| Purchase price | $1,500,000 |
| Stamp duty | $82,500 |
| TOTAL OUTLAY | $1,582,500 |
| Less cash contribution | ($400,000) |
| Less equity from property sale | ($290,200) |
| Loan required | **$892,300** |
| Existing loan | |
| Type of debt | **Non-deductible** |
| **TOTAL DEBT** | **$892,300** |

- Under this scenario, the approximate loan repayments would be as follows:

- Total debt structured with Principal & Interest repayments over a 30-year term at an interest rate of 2.5% p.a.
  - **Repayments of $3,526 PER MONTH**

## Impact on Tax & Cash Flow…

The following tables represent the effect on your tax and cash flow over a full financial year under each of the two scenarios.

### Current Position

### Estimated Tax Liability for Malcolm

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $145,000 | | | |
| **Deductions** | | | | |
| Salary Sacrifice | | $3,240 | | |
| **TAXABLE INCOME** | | | **$141,760** | |
| **Tax Payable before Rebates/Credits** | | | | **$37,518** |
| **LESS Rebates & Credits** | | | | |
| Rebates | | | | ($0) |
| **Total Rebates & Credits** | | | | **($0)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$37,518** |
| Medicare Levy | | | | $2,835 |
| **NET TAX** | | | | **$40,353** |

### Estimated Tax Liability for Marie

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $68,300 | | | |
| **Deductions** | | | | |
| | | | | |
| **TAXABLE INCOME** | | | **$68,300** | |
| **Tax Payable before Rebates/Credits** | | | | **$12,664** |
| **LESS Rebates & Credits** | | | | |
| Low Mid Income Tax Offset | | | | ($1,080) |
| **Total Rebates & Credits** | | | | **($1,080)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$11,584** |
| Medicare Levy | | | | $1,366 |
| **NET TAX** | | | | **$12,950** |

## Estimated Cash Flow

| | Malcolm | Marie | Total |
|---|---|---|---|
| **Income** | | | |
| Income Received | $145,000 | $68,300 | $213,300 |
| **Sub Total** | **$145,000** | **$68,300** | **$213,300** |
| Less Income Tax | $40,353 | $12,950 | $53,303 |
| Less Superannuation Contributions | $3,240 | $0 | $3,240 |
| **Net Income** | **$101,407** | **$55,350** | **$156,757** |
| Less Budgeted Expenditure | $36,500 | $36,500 | $73,000 |
| **Income Surplus** | **$64,907** | **$18,850** | **$83,757** |

## Scenario 1 – Purchase new residential property and keep existing property as an investment

## Estimated Tax Liability for Malcolm

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $145,000 | | | |
| Rental Income | $14,300 | | | |
| **Deductions** | | | | |
| Salary Sacrifice | | $3,240 | | |
| Interest on investment property loan | | $5,757 | | |
| **TAXABLE INCOME** | | | **$150,303** | |
| **Tax Payable before Rebates/Credits** | | | | **$40,679** |
| **LESS Rebates & Credits** | | | | |
| Rebates | | | | ($0) |
| **Total Rebates & Credits** | | | | **($0)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$40,679** |
| Medicare Levy | | | | $3,006 |
| **NET TAX** | | | | **$43,685** |

## Estimated Tax Liability for Marie

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $68,300 | | | |
| Rental Income | $14,300 | | | |
| **Deductions** | | | | |
| Interest on investment property loan | | $5,757 | | |
| **TAXABLE INCOME** | | | **$76,843** | |
| **Tax Payable before Rebates/Credits** | | | | **$15,441** |
| **LESS Rebates & Credits** | | | | |
| Low Mid Income Tax Offset | | | | ($1,080) |
| **Total Rebates & Credits** | | | | **($1,080)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$14,361** |
| Medicare Levy | | | | $1,537 |
| **NET TAX** | | | | **$15,898** |

## Estimated Cash Flow

| | Malcolm | Marie | Total |
|---|---|---|---|
| **Income** | | | |
| Income Received | $145,000 | $68,300 | $213,300 |
| Rental Income | $14,300 | $14,300 | $28,600 |
| **Sub Total** | **$159,300** | **$82,600** | **$241,900** |
| Less Income Tax | $43,685 | $15,898 | $59,583 |
| Less Superannuation Contributions | $3,240 | $0 | $3,240 |
| **Net Income** | **$112,375** | **$66,702** | **$179,077** |
| Less Budgeted Expenditure | $36,500 | $36,500 | $73,000 |
| Less Mortgage Repayments (Option B) | $32,538 | $32,538 | $65,076 |
| **Income Surplus** | **$43,337** | **($2,336)** | **$41,001** |

## Scenario 2 – Sell existing property and purchase new residential property

### Estimated Tax Liability for Malcolm

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $145,000 | | | |
| **Deductions** | | | | |
| Salary Sacrifice | | $3,240 | | |
| **TAXABLE INCOME** | | | **$141,760** | |
| **Tax Payable before Rebates/Credits** | | | | **$37,518** |
| **LESS Rebates & Credits** | | | | |
| Rebates | | | | ($0) |
| **Total Rebates & Credits** | | | | **($0)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$37,518** |
| Medicare Levy | | | | $2,835 |
| **NET TAX** | | | | **$40,353** |

### Estimated Tax Liability for Marie

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $68,300 | | | |
| **Deductions** | | | | |
| | | | | |
| **TAXABLE INCOME** | | | **$68,300** | |
| **Tax Payable before Rebates/Credits** | | | | **$12,664** |
| **LESS Rebates & Credits** | | | | |
| Low Mid Income Tax Offset | | | | ($1,080) |
| **Total Rebates & Credits** | | | | **($1,080)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$11,584** |
| Medicare Levy | | | | $1,366 |
| **NET TAX** | | | | **$12,950** |

## Estimated Cash Flow

| | Malcolm | Marie | Total |
|---|---|---|---|
| **Income** | | | |
| Income Received | $145,000 | $68,300 | $213,300 |
| **Sub Total** | **$145,000** | **$68,300** | **$213,300** |
| Less Income Tax | $40,353 | $12,950 | $53,303 |
| Less Superannuation Contributions | $3,240 | $0 | $3,240 |
| **Net Income** | **$101,407** | **$55,350** | **$156,757** |
| Less Budgeted Expenditure | $36,500 | $36,500 | $73,000 |
| Less Mortgage Repayments | $21,156 | $21,156 | $42,312 |
| **Income Surplus** | **$43,751** | **($2,306)** | **$41,445** |

## Concessional Superannuation Contributions Carry Forward

- If you have a total superannuation balance below $500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
  - have a 'total superannuation balance' of less than $500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
  - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- Malcolm and Marie, we only have access to information relating to your Host Plus superannuation funds which commenced in February 2020. Contributions prior to this time were made to a different fund. To ascertain the level of concessional contributions that were made to superannuation in the 2018/19 and 2019/20 financial years, we will need to access information from the previous fund. Once this information is to hand, we can then assess the level of 'carry forward' contributions available to you.

## Personal Concessional Contributions to Superannuation

Malcolm, you are currently receiving Superannuation Guarantee (SG) contributions of approximately $13,775 p.a. and you are salary sacrificing $3,240 p.a. Your total superannuation contributions are therefore $17,015 p.a. The concessional superannuation contribution cap is $25,000 per annum.

Marie, you are currently receiving Superannuation Guarantee (SG) contributions of approximately $6,500 p.a. The concessional superannuation contribution cap is $25,000 per annum.

**Recommendation:**

- Malcolm and Marie, consider making salary sacrifice or personal concessional contributions to superannuation up to the maximum limit each year. This would equate to additional personal contributions of $7,985 p.a. for Malcolm and $18,500 p.a. for Marie. The associated tax benefit is outlined on the following page.

**Benefits:**

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to the 39% (Malcolm) and 34.5% (Marie) if taken as income.
- **The total tax saving each year is anticipated to be:**
  - **Malcolm** **$1,916**
  - **Marie** **$3,860**
- You have increased your combined NET superannuation contributions to build a capital base to meet your retirement income goals.

**Risks:**

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

## Tax Liability - Malcolm

### Current Estimated Tax Liability

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $145,000 | | | |
| **Deductions** | | | | |
| Salary Sacrifice | | $3,240 | | |
| **TAXABLE INCOME** | | | **$141,760** | |
| **Tax Payable before Rebates/Credits** | | | | **$37,518** |
| **LESS Rebates & Credits** | | | | |
| Rebates | | | | ($0) |
| **Total Rebates & Credits** | | | | **($0)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$37,518** |
| Medicare Levy | | | | $2,835 |
| **NET TAX** | | | | **$40,353** |

### Proposed Estimated Tax Liability

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $145,000 | | | |
| **Deductions** | | | | |
| Current Salary Sacrifice | | $3,240 | | |
| Proposed additional personal concessional contribution | | $7,985 | | |
| **TAXABLE INCOME** | | | **$133,775** | |
| **Tax Payable before Rebates/Credits** | | | | **$34,564** |
| **LESS Rebates & Credits** | | | | |
| Rebates | | | | ($0) |
| **Total Rebates & Credits** | | | | **($0)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$34,564** |
| Medicare Levy | | | | $2,675 |
| **NET TAX** | | | | **$37,239** |

* Note: the additional $7,985 superannuation contribution will be subject to contributions tax of 15% ($1,198). Therefore, total tax incurred will be $38,437.

**Therefore, the overall tax benefit is anticipated to be $1,916 p.a.**
(i.e. $40,353 - $38,437)

## Tax Liability - Marie

### Current Estimated Tax Liability

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $68,300 | | | |
| **Deductions** | | | | |
| | | | | |
| **TAXABLE INCOME** | | | **$68,300** | |
| **Tax Payable before Rebates/Credits** | | | | **$12,664** |
| **LESS Rebates & Credits** | | | | |
| Low Mid Income Tax Offset | | | | ($1,080) |
| **Total Rebates & Credits** | | | | **($1,080)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$11,584** |
| Medicare Levy | | | | $1,366 |
| **NET TAX** | | | | **$12,950** |

### Proposed Estimated Tax Liability

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $68,300 | | | |
| **Deductions** | | | | |
| Personal concessional contribution | | $18,500 | | |
| **TAXABLE INCOME** | | | **$49,800** | |
| **Tax Payable before Rebates/Credits** | | | | **$6,652** |
| **LESS Rebates & Credits** | | | | |
| Low Income Tax Offset | | | | ($253) |
| Low Mid Income Tax Offset | | | | ($1,080) |
| **Total Rebates & Credits** | | | | **($1,333)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$5,319** |
| Medicare Levy | | | | $996 |
| **NET TAX** | | | | **$6,315** |

* Note: the $18,500 superannuation contribution will be subject to contributions tax of 15% ($2,775). Therefore, total tax incurred will be $9,090

**Therefore, the overall tax benefit is anticipated to be $3,860 p.a.**
(i.e. $12,950 - $9,090)

### Proposed Estimated Cash Flow (after concessional contributions)

| | Malcolm | Marie | Total |
|---|---|---|---|
| **Income** | | | |
| Income Received | $145,000 | $68,300 | $213,300 |
| **Sub Total** | **$145,000** | **$68,300** | **$213,300** |
| Less Income Tax | $37,239 | $6,315 | $43,554 |
| Less Superannuation Contributions | $3,240 | $0 | $3,240 |
| Lass additional contributions | $7,985 | $18,500 | $26,485 |
| **Net Income** | **$96,536** | **$43,485** | **$140,021** |
| Less Budgeted Expenditure | $36,500 | $36,500 | $73,000 |
| **Income Surplus** | **$60,036** | **$6,985** | **$67,021** |

## Overall Impact on Tax & Cash Flow If……

- Purchase new residential property and keep your existing property as an investment property as per Scenario 1; and
- Implement personal concessional contribution strategy as detailed

The following tables represent the overall effect on your tax and cash flow over a full financial year if both of the above were implemented.

### Estimated Tax Liability for Malcolm

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $145,000 | | | |
| Rental Income | $14,300 | | | |
| **Deductions** | | | | |
| Salary Sacrifice | | $3,240 | | |
| Proposed additional personal concessional contribution | | $7,985 | | |
| Interest on investment property loan | | $5,757 | | |
| **TAXABLE INCOME** | | | **$142,318** | |
| **Tax Payable before Rebates/Credits** | | | | **$37,725** |
| **LESS Rebates & Credits** | | | | |
| Rebates | | | | ($0) |
| **Total Rebates & Credits** | | | | **($0)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$37,725** |
| Medicare Levy | | | | $2,846 |
| **NET TAX** | | | | **$40,571** |

## Estimated Tax Liability for Marie

| Income Source | Amount Received | Deduction | Taxable Income | Tax |
|---|---|---|---|---|
| Gross Income | $68,300 | | | |
| Rental Income | $14,300 | | | |
| **Deductions** | | | | |
| Personal concessional contribution | | $18,500 | | |
| Interest on investment property loan | | $5,757 | | |
| **TAXABLE INCOME** | | | **$58,343** | |
| **Tax Payable before Rebates/Credits** | | | | **$9,428** |
| **LESS Rebates & Credits** | | | | |
| Low Income Tax Offset | | | | ($125) |
| Low Mid Income Tax Offset | | | | ($1,080) |
| **Total Rebates & Credits** | | | | **($1,205)** |
| **TAX PAYABLE after REBATES & CREDITS** | | | | **$8,223** |
| Medicare Levy | | | | $1,167 |
| **NET TAX** | | | | **$9,390** |

## Estimated Cash Flow

| | Malcolm | Marie | Total |
|---|---|---|---|
| **Income** | | | |
| Income Received | $145,000 | $68,300 | $213,300 |
| Rental Income | $14,300 | $14,300 | $28,600 |
| **Sub Total** | **$159,300** | **$82,600** | **$241,900** |
| Less Income Tax | $40,571 | $9,390 | $49,961 |
| Less Superannuation Contributions | $3,240 | $0 | $3,240 |
| Less additional contributions | $7,985 | $18,500 | $26,485 |
| **Net Income** | **$107,504** | **$54,710** | **$162,214** |
| Less Budgeted Expenditure | $36,500 | $36,500 | $73,000 |
| Less Mortgage Repayments (Option B) | $32,538 | $32,538 | $65,076 |
| **Income Surplus** | **$38,466** | **($14,328)** | **$24,138** |

## Superannuation Funds

**Malcolm and Marie**, you currently have the following approximate superannuation balances:

**Malcolm**
- Host Plus Super $ 82,400

**Marie**
- Host Plus Super $ 36,600

**TOTAL** **$119,000**

**Recommendations:**

- You effectively have two options in terms of how your existing superannuation monies are structured:
  - Continue to hold these monies in your existing Host Plus Super funds.
  - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation accumulation platform.
- At this stage, we have not considered the option of a Self-Managed Superannuation Fund (SMSF), as your combined superannuation balance is not yet at a level where a SMSF would be viable.

## Investments Within Superannuation

### *Host Plus Super*

Malcolm and Marie, you each have a superannuation fund with Host Plus Super invested in the 'Balanced' option.

The asset allocation of the Host Plus 'Balanced' option is:

| Asset Class | % of Portfolio |
|---|---|
| Australian Shares | 21% |
| International Shares | 29% |
| Property | 25% |
| Fixed Interest | 15% |
| Cash | 5% |
| Alternatives | 5% |
| | **100%** |

**Host Plus 'Balanced' Historical Performance at 31/12/20**

| | 1 year | 3 years (p.a.) |
|---|---|---|
| Host Plus Balanced option | 2.01% | 6.35% |

## *Option 1 – Maintain Existing Host Plus superannuation funds*

**Upside:**

- The overall fee structure of Industry Funds are traditionally relatively low when compared to a Master Trust platform.

**Downside:**

- The investment options available are very limited
- The historical average performance associated with your existing fund is lower than alternative options.

## *Option 2 – Master Trust Platform (Colonial First State)*

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio. The specific underlying funds that make up your individual portfolios would be:

***Colonial First State Wholesale Personal Super – 'Balanced to Growth' portfolio***

| | % of portfolio |
|---|---|
| CFS Wholesale Index Australian Share | 18% |
| CFS Wholesale Aust. Small Companies | 20% |
| Colonial First State Wholesale Index Global Share | 22% |
| Pendal Wholesale Property Investment (BT) | 12% |
| CFS Wholesale Index Property Securities | 8% |
| Colonial First State Wholesale Index Australian Bond | 20% |
| | **100.00%** |

**Performance of the alternative Colonial First State Growth Portfolio at 31/12/20**

| | % of portfolio | 1 year | 3 years (p.a.) |
|---|---|---|---|
| CFS Wholesale Index Australian Share | 18% | 0.36% | 1.23% |
| CFS Wholesale Aust. Small Companies | 20% | 4.44% | 2.93% |
| Colonial First State Wholesale Index Global Share | 22% | 1.15% | 2.19% |
| Pendal Wholesale Property Investment (BT) | 12% | 0.00% | 0.85% |
| CFS Wholesale Index Property Securities | 8% | -0.30% | 0.38% |
| Colonial First State Wholesale Index Australian Bond | 20% | 0.71% | 0.87% |
| | **100.00%** | **6.36%** | **8.45%** |

**Benefits:**

- The alternative portfolios have outperformed your current funds.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund’s performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

## Replacement of an Existing Product

### *Malcolm*

| Type of Fee or Cost | Host Plus Balanced | Colonial Wholesale Super Fund |
|---|---|---|
| **Contribution/Entry fee** – this is the fee for initial and subsequent contributions. | Nil | Nil |
| **Withdrawal/Exit Fee** – this is the fee for each withdrawal you make | Nil | Nil |
| **Switching Fee** – fee charged for switching between investment options in the super fund. | Nil | Nil |
| **Administration Costs** – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer | $78 p.a. | Nil |
| **Adviser Service Fee** – additional fee paid to financial adviser | Nil | 0.60% p.a. |
| **Investment Costs** – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs. | 1.10% p.a. | 0.65% p.a. |
| **Annual average cost - Total** **$82,400** investment | **$984 p.a.** | **$1,030 p.a.** |

**Outcomes Post Implementation - Malcolm:**

- Mark, the sum of your total ongoing management and administration fees will **increase** by approximately **$46 PER ANNUM**.
- The Colonial First State Wholesale '**Balanced to Growth**' portfolio has **outperformed** your current fund over the past 3 years by an average of **2.10%** p.a. Based on your current balance, **this equates to $1,730 p.a. ($5,190 over a 3-year period).**

## *Marie*

| Type of Fee or Cost | Host Plus Balanced | Colonial Wholesale Super Fund |
|---|---|---|
| **Contribution/Entry fee** – this is the fee for initial and subsequent contributions. | Nil | Nil |
| **Withdrawal/Exit Fee** – this is the fee for each withdrawal you make | Nil | Nil |
| **Switching Fee** – fee charged for switching between investment options in the super fund. | Nil | Nil |
| **Administration Costs** – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer | $78 p.a. | Nil |
| **Adviser Service Fee** – additional fee paid to financial adviser | Nil | 0.60% p.a. |
| **Investment Costs** – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs. | 1.10% p.a. | 0.65% p.a. |
| **Annual average cost - Total $36,600** investment | **$481 p.a.** | **$457 p.a.** |

**Outcomes Post Implementation - Marie:**

- Mark, the sum of your total ongoing management and administration fees will **decrease** by approximately **$24 PER ANNUM**.
- The Colonial First State Wholesale '**Balanced to Growth**' portfolio has **outperformed** your current fund over the past 3 years by an average of **2.10%** p.a. Based on your current balance, **this equates to $769 p.a. ($2,307 over a 3-year period).**

# Investment Recommendation

## Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of $5,000 ($1,500 for super) is required to establish an account in FirstChoice Investments. A $1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is $100 per month.

**Reasons and Benefits**

The major features of the Colonial FirstChoice Investments are as follows:

<u>Sector Specific Diversification</u>

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

<u>Simplicity</u>

Consolidated reporting from Colonial First State.

<u>Ease of Management</u>

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

<u>Highly competitive and simple to understand fee structure</u>

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
    - **A 0.60% p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

## Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your proposed portfolio value, we have provided an estimation of the costs you will pay.

| **Colonial FirstState FirstChoice Investments - Malcolm** | **MER %** | **Amount invested ❶ $** | **Estimated fee $** |
|---|---|---|---|
| CFS Wholesale Aust. Small Companies | 1.38% | $16,480 | $227.42 |
| Colonial First State Wholesale Index Australian Share | 0.34% | $14,832 | $50.43 |
| Colonial First State Wholesale Index Global Share | 0.35% | $18,128 | $63.45 |
| Pendal Wholesale Property Investment (BT) | 1.21% | $9,888 | $119.64 |
| Colonial First State Wholesale Index Property Securities | 0.34% | $6,592 | $22.41 |
| Colonial First State Wholesale Index Australian Bond | 0.34% | $16,480 | $56.03 |
| Total ongoing fees❶ | **0.65%** | **$82,400** | **$539.39** |

| **Colonial FirstState FirstChoice Investments - Marie** | **MER %** | **Amount invested ❶ $** | **Estimated fee $** |
|---|---|---|---|
| CFS Wholesale Aust. Small Companies | 1.38% | $7,320 | $101.02 |
| Colonial First State Wholesale Index Australian Share | 0.34% | $6,588 | $22.40 |
| Colonial First State Wholesale Index Global Share | 0.35% | $8,052 | $28.18 |
| Pendal Wholesale Property Investment (BT) | 1.21% | $4,392 | $53.14 |
| Colonial First State Wholesale Index Property Securities | 0.34% | $2,928 | $9.96 |
| Colonial First State Wholesale Index Australian Bond | 0.34% | $7,320 | $24.89 |
| **Total ongoing fees❶** | **0.65%** | **$36,600** | **$239.58** |

❶ Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your proposed portfolio to estimate your annual ongoing fee.

***Please note that there is an additional adviser service fee of 0.60% that is paid by you.***

## Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs, there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self-insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

## Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

## Existing Cover Amounts

**Malcolm**, you currently have the following insurance cover in place under your Host Plus super fund

Host Plus Super (superannuation owned)

| | |
|---|---|
| Life Insurance: | $2,000,000 |
| TPD: | $350,000 |
| Income Protection | $11,300 p.m. (90 day wait / payment period to age 65) |

**Marie**, you currently have the following insurance cover in place under your Host Plus super fund

Host Plus Super (superannuation owned)

| | |
|---|---|
| Life Insurance: | $1,500,000 |
| TPD: | $1,500,000 |
| Income Protection: | $5,000 p.m. (90 day wait / payment period to age 65) |

A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken. Lakeside's Tristan Strange will assist you with this analysis and we will subsequently provide recommendations accordingly.

## *Investment Structures & Associated Retirement Projections*

This section of your Statement of Advice details you projected capital position in retirement based on certain scenarios. The following assumptions have been used in each of the scenarios:

- Capital value of residential property increases by 5.0% p.a.
- Capital value of investment property increases by 5.0% p.a.
- Residential property loan repayments are Principal and Interest
- Investment property loan repayments are Interest Only

### *Scenario 1*

- Keep existing property as an investment and purchase a new residential property for $1.45m.

### *Scenario 2*

- Sell existing property and purchase a new residential property for $1.5m.

### *Scenario 3*

- Keep existing property as an investment and purchase a new residential property for $1.45m.
- Additional superannuation contributions as detailed within the SoA.

### *Scenario 4*

- Sell existing property and purchase a new residential property for $1.5m.
- Additional superannuation contributions as detailed within the SoA.

## *Retirement Projections*

Under each of these scenarios we have calculated your projected capital position at various stages, taking into consideration the assumptions previously outlined.

A summary of these projections is detailed in the following table:

| Scenario | | Superannuation Capital | Total Overall (Net) Investment Capital | Residential Property (Net) Value |
|---|---|---|---|---|
| 1 | Year 15 | $750,471 | $991,503 | $2,344,987 |
| | Year 20 | $1,116,984 | $1,364,844 | $3,373,761 |
| | Year 25 | $1,607,460 | $1,841,331 | $4,658,692 |
| 2 | Year 15 | $750,471 | $0 | $2,619,064 |
| | Year 20 | $1,116,984 | $0 | $3,639,289 |
| | Year 25 | $1,607,460 | $0 | $4,957,373 |
| **3** | **Year 15** | **$1,274,419** | **$991,503** | **$2,344,987** |
| | **Year 20** | **$1,945,037** | **$1,364,844** | **$3,373,761** |
| | **Year 25** | **$2,842,474** | **$1,841,331** | **$4,658,692** |
| 4 | Year 15 | $1,274,419 | $0 | $2,619,064 |
| | Year 20 | $1,945,037 | $0 | $3,639,289 |
| | Year 25 | $2,842,474 | $0 | $4,957,373 |

***A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.***

After 20 years, the following income would be generated without eroding any capital, assuming:

- any remaining debt is extinguished
- a conservative **5% p.a. return on remaining superannuation and investment capital**,

| Scenario | Net superannuation and investment capital after all debt is extinguished | Income from superannuation/investment capital |
|---|---|---|
| 1 | $2,481,968 | $124,098 |
| 2 | $1,116,984 | $55,849 |
| 3 | $3,309,881 | $165,494 |
| 4 | $1,945,037 | $97,252 |

## What is paid to your adviser

### Plan Fee

You have agreed to a Plan Fee of $3,500+GST, which will be invoiced to you.

### Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of 0.60% will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

**The agreed Ongoing fee** is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

## Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

**Cooling-off periods**

After investing in a financial product, you have a "cooling-off" period in which to change your mind if you don't think the product meets your needs. The cooling-off period usually starts when you're told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

**No guarantee**

The investments we recommend for you must be appropriate for you. However, we don't guarantee they're the best available or that they'll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

**Tax**

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

## Are My Product Recommendations Restricted?

*Non-Superannuation Products*

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

*Superannuation Products*

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

**What is My Responsibility to You?**

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

**Do I Guarantee the Investments I have recommended?**

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

**Your Financial Plan**

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

**Next steps**

**How to get started**

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

**Finally**

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.